

**THE UNITED REPUBLIC OF TANZANIA
NATIONAL EXAMINATIONS COUNCIL OF TANZANIA
CERTIFICATE OF SECONDARY EDUCATION EXAMINATION**

062

BOOK KEEPING
(For Both School and Private Candidates)

Time: 3 Hours

Year: 2024

Instructions

1. This paper consists of sections A, B and C with a total of **nine (9)** questions.
2. Answer **all** questions in sections A, B and C.
3. Section A carries **fifteen (15)** marks, section B carries **forty (40)** marks and C carries **forty five (45)** marks.
4. Non programmable calculators may be used.
5. Communication devices and any unauthorized materials are **not** allowed in the examination room.
6. Write your **Examination Number** on every page of your answer booklet(s).



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SECTION A (15 Marks)

Answer all questions in this section.

- I. For each of the items (i) - (x), choose the correct answer from the given alternatives and write its letter beside the item number in the answer booklet provided.
- (i) Given opening capital of TZS 500,000, closing capital of TZS 1,800,000, and drawings for the year of TZS 200,000; how much would be the profit or loss for the year?
- A Loss for the year is TZS 1,000,000 B Loss for the year is TZS 2,100,000
C Profit for the year is TZS 2,500,000 D Loss for the year is TZS 1,100,000
E Profit for the year is TZS 1,500,000
- (ii) Which accounts balances would appear on the **debit** column of the Trial Balance?
- A Accounts payable and Accounts receivable
B Accounts receivable and Interest paid
C Rent received and Accounts payable
D Bank overdraft and Account receivable
E Interest received and Bank Overdraft
- (iii) Which item would not be considered in the process of preparing Receipts and Payments account for the religious organization?
- A Cheques paid during the year B Subscriptions received
C Surplus D Bank balance
E Receipt from sale of asset
- (iv) Ms. Akilimali started business with cash from her savings of TZS 1,000,000, equipment valued TZS 200,000, motor van valued TZS 2,000,000 and a loan from Faraja SACCOS TZS 300,000. How much would be Ms. Akilimali's capital?
- A TZS 1,200,000 B TZS 3,500,000
C TZS 2,900,000 D TZS 2,200,000
E TZS 3,200,000
- (v) What is the recommended method of apportioning expenses in accounting for departmental stores?
- A To allocate expenses in proportion to sales
B To charge against each department its uncontrollable costs
C To charge equally to each department
D To allocate expenses in proportion to purchases
E To charge against each department its controllable costs

- (vi) If the Book Keeper debited the repair cost for office equipment of TZS 50,000 to office equipment account, what would be the effect on income statement?
- A Net profit would be understated
 - B Net profit would be overstated
 - C Net profit would not be affected
 - D Assets would be understated
 - E Both gross profit and net profit would be overstated
- (vii) Which items would you record on the credit side of the Sales Ledger Control Account?
- (i) Bad debts
 - (ii) Returns outwards
 - (iii) Provision for bad debts
 - (iv) Returns inwards
- A (i) and (ii)
 - B (i) and (iii)
 - C (ii) and (iii)
 - D (iii) and (iv)
 - E (i) and (iv)
- (viii) A retailer is offered credit terms of 2% on invoice price when payment is made within 10 days, otherwise the debt is to be paid in full within 30 days (i.e. 2/10, n/30). Which kind of discount is reflected in this business arrangement?
- A Trade discount
 - B Cash discount
 - C Bank discount
 - D Retail discount
 - E Production discount
- (ix) Which one are the primary objectives of hiring external auditor annually?
- (i) To detect errors and fraud
 - (ii) To prove true and fair view of business state of affairs
 - (iii) To be assisted to improve accounting system
 - (iv) To confirm if proper books of accounts are being kept
- A (i) and (ii)
 - B (i) and (iii)
 - C (ii) and (iii)
 - D (ii) and (iv)
 - E (iii) and (iv)
- (x) Your school bought a combine harvester machine for TZS 20,000,000. It is to be depreciated at a rate of 25% per annum on diminishing balance. What would be the remaining book value of the machine after 2 years?
- A TZS 10,000,000
 - B TZS 15,000,000
 - C TZS 5,000,000
 - D TZS 16,250,000
 - E TZS 11,250,000

2. For each of the items (i) - (v), match the descriptions of the types of ledger in **List A** with their corresponding names in **List B** by writing the letter of the correct response beside the item number in the answer booklet provided.

List A	List B
(i) Contains accounts of assets, revenues and expenses.	A Purchases ledger
(ii) Contains customers' accounts to whom goods have been sold on credit.	B Ledger
(iii) Contains confidential information such as capital, drawings and salaries accounts.	C Private ledger
(iv) A main book of account in which various accounts are opened and maintained.	D Sales ledger
(v) Contains suppliers' accounts from whom goods have been bought on credit.	E Nominal ledger
	F General ledger
	G Expenses ledger

SECTION B (40 Marks)

Answer **all** questions in this section.

3. Briefly differentiate Continuous and Interim audits. Give four points.
4. You are the Book Keeper of Katarina, a Sole Trader. On 31st December 2021, you found that the cash book of the firm had a credit balance of TZS 15,600,000 while the bank statement on the same date showed a different balance. On investigation, you discovered the following:
- (a) Items shown in the bank statement but not yet entered in the cash book:
 - (i) Payments of insurance premium on standing order TZS 4,200,000.
 - (ii) Bank charges TZS 95,000.
 - (iii) Dividends collected by bank TZS 780,000.
 - (iv) Cheques dishonoured TZS 1,640,000.
 - (b) Cheques drawn but not yet presented to the bank: Isaak Maina TZS 130,000; Daniel Philipo TZS 55,000; Florence John TZS 230,000; Jabir Mnene TZS 360,000.
 - (c) Cash payment of TZS 540,000 entered in the cash book (bank column) as TZS 450,000.
 - (d) Cheques paid into the bank not appearing in the bank statement: Joan David TZS 1,000,000; Isabela Saimon TZS 190,000; Wakufunza Restaurant TZS 85,000.

Using the information provided, prepare the Adjusted Cash Book and a Bank Reconciliation Statement for the month ending 31st December 2021 starting with the balance as per adjusted cash book.

5. Dotto is a sole trader at Makambako in Njombe, the trader has limited skills in recording credit sales in the books of prime entry. The following are his credit sales for the month of February 2022:

February 1 Sold to Mchikichini Secondary School:
15 boxes of continental chalks @ TZS 32,000
4 red pens boxes @ TZS 7,500
12 blue pen boxes @ TZS 5,500
100 manila cards @ TZS 2,000
2 pieces of Epson black ink No. 664 @ TZS 32,000.

February 5 Sold to Sonia traders:
15 dozen of blue band at TZS 6,000 per dozen
5 dozen of school shoes @ TZS 30,000 per piece.

February 12 Sold goods worth TZS 320,000 to Janelle:

February 15 Sold to Kiwele:
30 kg of rice @ TZS 2,900 per kg
15 kg of sugar @ TZS 2,500
30 dozens of exercises books at TZS 700 per pair
1 dozen of T-shirts at TZS 25,000 per T-shirt.

February 25 Sold 25 bags of Dangote cement to Mwendwa at TZS 16,500 per bag.

Assist Dotto to enter the transactions for February in the Sales Day Book and post the total credit sales for the month to the Sales Account in the general ledger.

6. Mtafutaji, a sole trader started business on 1st April 2022 with cash on hand TZS 10,000,000. During the month ending 30th April, 2022, he had the following transactions:

April 1 Opened a bank account with ABC bank paying in TZS 9,000,000

April 2 Purchased goods for cash TZS 400,000

April 3 Purchased a motor vehicle costing TZS 4,000,000 paying by cheque

April 4 Purchased goods on credit from Maji Matitu Traders TZS 240,000

April 5 Purchased goods worth TZS 1,000,000 paying by cheque

April 7 Cash sales TZS 400,000

April 8 Purchased a motor vehicle on credit from Joel Traders TZS 5,000,000

April 10 Paid rent in cash TZS 100,000

April 15 Sold goods receiving a cheque for TZS 700,000

April 16 Paid cash into bank TZS 400,000

April 17 Cash purchases TZS 300,000

April 18 Sold goods to Mnene on credit TZS 480,000

April 20 Paid wages in cash TZS 200,000

April 22 Received cash from Mnene TZS 300,000

April 30 Paid sundry expenses in cash TZS 160,000.

Record the transactions for April, 2022 in the Cash and Bank Accounts, balance off the accounts on 30th April 2022 and bring down the balances on 1st May, 2022.

SECTION C (45 Marks)

Answer all questions in this section.

7. Nyota and Mwezi have been in partnership sharing profits and losses in the ratio of 3:2. They employed you as a part time Book Keeper and charged you with the duty of recording business transactions and preparing the firm's financial statements. The following information was extracted from the firm's accounting records:

Nyota and Mwezi Trial balance as at 31st December 2021

Name of Account	DR (TZS)	CR (TZS)
Capitals: Nyota		520,000
Mwezi		650,000
Current accounts: Nyota	78,000	
Mwezi	32,500	
Stock 1 st January 2022	195,000	
Purchases	1,150,500	
Sales		2,649,400
Returns	36,500	42,750
Fixture and fittings	124,100	
Plant and machinery	1,400,000	
Trade debtors	212,400	
Trade creditors		317,000
Salaries and wages	946,400	
Rent and rates	200,850	
Cash in hand	42,150	
Bank overdraft		239,250
	4,418,400	4,418,400

Additional information:

- (i) Wages and salaries accrued was TZS 63,000
- (ii) Rent and rates prepaid was TZS 48,500
- (iii) Closing stock on 31st December 2021 was TZS 292,750
- (iv) Nyota to receive a salary of TZS 60,000
- (v) Each partner to receive a 10% interest on capital

Use the information provided to prepare the Statement of Income and Profit or Loss Appropriation for the year ending 31st December, 2021 and Statement of Financial Position as at 31st December 2021.

8. Use the information provided to prepare the Goods Sent on Consignment, Consignment to Nyakato, Consignee and Bank Accounts in the books of Mr. Kimara for the year ending 31st December, 2022:

Mr. Kimara consigned good to Nyakato costing TZS 2,000,000 on 1st January 2022. On sending the goods, he paid TZS 40,000 for freight, TZS 100,000 for insurance, TZS 100,000 for packing and TZS 20,000 as loading charges.

Nyakato conducted the business successfully and managed to send an account sales to Mr. Kimara showing that, the proceeds from sales were TZS 3,000,000 and incurred TZS 30,000 for landing charges, TZS 120,000 for transport and TZS 30,000 for storage. The unsold stock of goods in the hands of Nyakato was valued at a cost of TZS 600,000.

The agreement between the two parties shows that, Mrs. Nyakato is entitled to a commission of 5% and 1% del credere on sales. A sight draft was sent to Mr. Kimara for the amount due to him.

9. Prepare the Statement of Manufacturing Cost and Income Statement for the year ending 31st December 2021 using the following information:

	Details	TZS
Raw materials:	Stock on 1 st January	195,000,000
	Purchases	760,000,000
	Stock on 31 st December	205,000,000
Finished goods:	Stock on 1 st January	255,000,000
	Purchases	45,000,000
	Stock on 31 st December	285,000,000
Work in progress:	As at 1 st January	80,000,000
	As at 31 st December	91,000,000
Depreciation:	Factory plant and machinery	190,000,000
	General office assets	60,000,000
Light and heat:	Sales warehouse and office	10,500,000
Other information:	Sales	2,000,000,000
	Manufacturing wages	426,500,000
	Repairs of plant and machinery	67,500,000
	Carriage outwards	33,000,000
	Factory power	62,000,000
	Selling and distribution expenses	211,500,000

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BOOK KEEPING

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Time: 3 Hours

ANSWERS

Year: 2024

Instructions

1. This paper consists of NINE questions.
2. Answer all questions

1. For each of the items (i) - (x), choose the correct answer from the given alternatives and write its letter beside the item number in the answer booklet provided.

(i) Given opening capital of TZS 500,000, closing capital of TZS 1,800,000, and drawings for the year of TZS 200,000, how much would be the profit or loss for the year?

- A Loss for the year is TZS 1,000,000
- B Loss for the year is TZS 2,100,000
- C Profit for the year is TZS 2,500,000
- D Loss for the year is TZS 1,100,000
- E Profit for the year is TZS 1,500,000

Correct answer: E

Reason: Profit = Closing capital - Opening capital + Drawings
 $= 1,800,000 - 500,000 + 200,000 = 1,500,000$

(ii) Which accounts balances would appear on the debit column of the Trial Balance?

- A Accounts payable and Accounts receivable
- B Accounts receivable and Interest paid
- C Rent received and Accounts payable
- D Bank overdraft and Account receivable
- E Interest received and Bank Overdraft

Correct answer: B

Reason: Accounts receivable and interest paid are both debits because they represent assets and expenses respectively.

(iii) Which item would not be considered in the process of preparing Receipts and Payments account for the religious organization?

- A Surplus paid during the year
- B Subscriptions received
- C Cheques paid
- D Bank balance
- E Receipt from sale of asset

Correct answer: A

Reason: Surplus is part of Income and Expenditure account, not Receipts and Payments account.

(iv) Ms. Akilimali started business with cash from her savings of TZS 1,000,000, equipment valued TZS 200,000, motor van valued TZS 2,000,000 and a loan from Faraja SACCOS TZS 300,000. How much would be Ms. Akilimali's capital?

- A TZS 1,900,000
- B TZS 3,500,000
- C TZS 2,900,000

D TZS 2,200,000

E TZS 3,200,000

Correct answer: C

Reason: $\text{Capital} = \text{Cash} + \text{Equipment} + \text{Motor van} = 1,000,000 + 200,000 + 2,000,000 = 3,200,000$

Loan is a liability and should not be included, so actual capital = $3,200,000 - 300,000 = 2,900,000$

(v) What is the recommended method of apportioning expenses in accounting for departmental stores?

A To allocate agents in proportion to sales

B To charge against each department its uncontrollable costs

C To charge equally to each department

D To allocate expenses in proportion to purchases

E To charge against each department its controllable costs

Correct answer: E

Reason: It is recommended to apportion controllable costs to departments based on their responsibility for managing those costs.

(vi) If the Book Keeper debited the repair cost for office equipment of TZS 50,000 to office equipment account, what would be the effect on income statement?

A Net profit would be understated

B Net profit would be overstated

C Net profit would not be affected

D Assets would be understated

E Both gross profit and net profit would be overstated

Correct answer: B

Reason: Repairs should be treated as an expense. If it is wrongly added to assets, the expense is understated, so net profit is overstated.

(vii) Which items would you record on the credit side of the Sales Ledger Control Account?

(i) Bad debts

(ii) Returns outwards

(iii) Provision for bad debts

(iv) Returns inwards

A (i) and (iv)

B (i) and (iii)

C (ii) and (iii)

D (iii) and (iv)

E (ii) and (iv)

Correct answer: A

Reason: Bad debts and returns inwards reduce debtors and are recorded on the credit side of the Sales Ledger Control Account.

(viii) A retailer is offered credit terms of 2% on invoice price when payment is made within 10 days, otherwise the debt is to be paid in full within 30 days (i.e. 2/10, n/30). Which kind of discount is reflected in this business arrangement?

- A Trade discount
- B Cash discount
- C Bank discount
- D Retail discount
- E Production discount

Correct answer: B

Reason: Cash discount is offered for prompt payment.

(ix) Which one are the primary objectives of hiring external auditor annually?

- (i) To detect errors and fraud
- (ii) To prove true and fair view of business state of affairs
- (iii) To examine internal communication system
- (iv) To verify if proper books of accounts are being kept

- A (ii) and (iv)
- B (i) and (iii)
- C (ii) and (iii)
- D (i) and (iv)
- E (ii) and (i)

Correct answer: E

Reason: The primary objectives are to ensure the financial statements are true and fair and to detect errors and fraud.

(x) Your school bought a combine harvester machine for TZS 20,000,000. It is to be depreciated at a rate of 25% per annum on diminishing balance. What would be the remaining book value of the machine after 2 years?

- A TZS 1,000,000
- B TZS 15,000,000
- C TZS 5,000,000
- D TZS 16,250,000
- E TZS 11,250,000

Correct answer: E

Reason:

Year 1: $25\% \text{ of } 20,000,000 = 5,000,000$

Remaining = $20,000,000 - 5,000,000 = 15,000,000$

Year 2: 25% of 15,000,000 = 3,750,000
Remaining = 15,000,000 - 3,750,000 = 11,250,000

2. For each item (i)–(v), match the descriptions of the types of ledger in List A with their corresponding names in List B by writing the letter of the correct response beside the item number in the answer booklet provided.

List A

- (i) Contains accounts of assets, revenues and expenses
- (ii) Contains customers' accounts to whom goods have been sold on credit
- (iii) Contains confidential information such as capital, drawings and salaries accounts
- (iv) Contains accounts of personnel in which various employees are opened and maintained
- (v) Contains suppliers' accounts from whom goods have been bought on credit

List B

- A Purchases ledger
- B Ledger
- C Private ledger
- D Sales ledger
- E Nominal ledger
- F General ledger
- G Expenses ledger

Answers:

- (i) E
- (ii) D
- (iii) C
- (iv) G
- (v) A

3. Briefly differentiate Continuous and Interim audits. Give four points.

Continuous audit involves regular and continuous checks of financial records throughout the accounting period, whereas Interim audit is conducted at a specific interval within the financial year before the final audit.

Continuous audit allows early detection of errors and frauds, while Interim audit focuses on partial financial data for quicker reporting.

Continuous audit is more detailed as it covers transactions as they occur, while Interim audit is limited in scope.

Continuous audit is suitable for large firms with frequent transactions, while Interim audit suits medium businesses preparing interim reports.

4. You are the Book Keeper of Katarina, a Sole Trader. On 31st December 2021, you found that the cash book of the firm had a credit balance of TZS 15,600,000 while the bank statement on the same date showed a different balance. On investigation, you discovered the following:

(a) Items shown in the bank statement but not yet entered in the cash book:

- (i) Payments of insurance premium on standing order TZS 4,200,000
- (ii) Bank charges TZS 95,000
- (iii) Dividends collected by bank TZS 780,000
- (iv) Cheques dishonoured TZS 1,640,000

(b) Cheques drawn but not yet presented in the bank: Isack Maina TZS 130,000; Daniel Philipo TZS 55,000; Florence John TZS 230,000; Jabir Mbone TZS 360,000

(c) Cash payment of TZS 540,000 entered in the cash book (bank column) as TZS 450,000

(d) Cheques paid into the bank not appearing in the bank statement: Joan David TZS 1,000,000; Isabella Samon TZS 190,000; Wakufanza Restaurant TZS 850,000

Using the information provided, prepare the Adjusted Cash Book and a Bank Reconciliation Statement for the month ending 31st December 2021 starting with the balance as per adjusted cash book.

Adjusted Cash Book (Bank Column)

Opening Balance (credit)	15,600,000
Add: Dividends collected by bank	780,000
Less:	
Insurance Premium	4,200,000
Bank charges	95,000
Dishonoured cheque	1,640,000
Correction of undercast payment	90,000 (540,000 - 450,000)

Total Deductions: 6,025,000

Adjusted Cash Book balance: $15,600,000 + 780,000 - 6,025,000 = 10,355,000$ (credit)

Bank Reconciliation Statement as at 31st December 2021

Balance as per adjusted cash book 10,355,000

Add: Cheques not yet presented:

Isack Maina	130,000
Daniel Philipo	55,000
Florence John	230,000
Jabir Mbone	360,000
Total	775,000

Less: Cheques paid into bank but not credited by bank:

Joan David 1,000,000

Isabella Samon	190,000
Wakufanza Restaurant	850,000
Total	2,040,000

Balance as per Bank Statement:

$10,355,000 + 775,000 - 2,040,000 = 9,090,000$ (credit)

5. Dotto is a sole trader at Makambako in Njombe, the trader has limited skills in recording retail sales in the books of prime entry. The following are his credit sales for the month of February 2022:

February 1

15 boxes of continental chalks @ TZS 32,000
12 blue pens @ TZS 5,000
100 manila cards @ TZS 2,000
2 pieces of Epson black ink No. 664 @ TZS 32,000

February 5

Sold to Sonia traders:

15 dozen of blue hand at TZS 6,000 per dozen
2 dozen of school shoes @ TZS 30,000 per piece

February 12

Sold goods worth TZS 320,000 to Janelle

February 15

Sold to Kiwoce:

30 kg of rice @ TZS 2,900 per kg
30 dozens of exercise books at TZS 700 per pair
12 dozen of T-shirts at TZS 25,000 per T-shirt

February 25

Sold 25 bags of Dangote cement to Mwendwa at TZS 16,500 per bag

Journal entries (summary) for February to the Sales Day Book:

February 1:

Continental chalks: $15 \times 32,000 = 480,000$
Blue pens: $12 \times 5,000 = 60,000$
Manila cards: $100 \times 2,000 = 200,000$
Epson inks: $2 \times 32,000 = 64,000$
Total: 804,000

February 5:

Blue hand: $15 \text{ dozen} \times 6,000 = 90,000$

School shoes: $24 \times 30,000 = 720,000$
Total: 810,000

February 12: 320,000

February 15:
Rice: $30 \times 2,900 = 87,000$
Exercise books: $30 \times 700 = 21,000$
T-shirts: $12 \times 25,000 = 300,000$
Total: 408,000

February 25: $25 \times 16,500 = 412,500$

Post the total sales to Sales Account:
 $804,000 + 810,000 + 320,000 + 408,000 + 412,500 = 2,754,500$

Sales Account (summary entry)
Dr: Respective Debtors
Cr: Sales Account TZS 2,754,500

6. Mfutajika, a sole trader started business on 1st April 2022 with cash on hand TZS 10,000,000. During the month ending 30th April, 2022, he had the following transactions:

Prepare a Cash Book and Bank Account and balance them.

Cash Book

April 1: Capital introduced	10,000,000
April 2: Bought goods cash	- 400,000
April 3: Bought vehicle by cheque	- 4,000,000
April 5: Bought goods on credit (no entry in cash/bank)	
April 7: Goods returned (credit) (no entry)	
April 9: Cash sales	1,000,000
April 11: Purchased vehicle by cheque	-5,000,000
April 13: Received cheque from Joel Traders	5,000,000
April 14: Received TZS	1,200,000
April 15: Goods sold on credit (no entry)	
April 17: Received from sales	750,000
April 20: Bought goods	-300,000
April 21: Paid wages	-250,000
April 24: Received rent	300,000
April 30: Paid expenses	-160,000

Summary (Cash Book):

Receipts:

Capital: 10,000,000

Sales: 1,000,000

Received: $1,200,000 + 750,000 + 300,000 = 2,250,000$

Total Receipts: 13,250,000

Payments:

Goods: $400,000 + 300,000 = 700,000$

Wages: 250,000

Expenses: 160,000

Vehicle: 9,000,000 (2 vehicles)

Total Payments: 10,110,000

Cash Balance: $13,250,000 - 10,110,000 = 3,140,000$

Bank Account

April 13: Joel Traders cheque: 5,000,000

April 3 and April 11: Payments for vehicles = -9,000,000

Balance: $5,000,000 - 9,000,000 = -4,000,000$ (Bank overdraft)

7. Nyota and Mwevi have been in partnership sharing profits and losses in the ratio 3:2. Use the given data to prepare:

(i) Statement of Income

(ii) Profit or Loss Appropriation

(iii) Statement of Financial Position as at 31st December 2021

7. Preparation of Financial Statements for Nyota and Mwevi Partnership as at 31st December 2021

(i) Statement of Income for the year ended 31st December 2021

Sales..... 4,125,000
Less: Returns..... (36,300)
Net Sales..... 4,088,700

Cost of Sales:

Opening stock..... 195,000
Add: Purchases..... 1,150,000
Less: Returns inward..... (36,300)
Cost of goods available..... 1,308,700
Less: Closing stock..... (292,750)
Cost of Sales..... 1,015,950

Gross Profit..... 3,072,750

Add: Interest on drawings:

Mwevi..... 6,000

Adjusted Gross Profit..... 3,078,750

Less Expenses:

Wages and salaries..... 63,000

Rates..... 20,850

Rent..... 200,850

Salaries and wages outstanding..... 94,400

Depreciation on Fixture & Fittings

= 10% x 240,000..... 24,000

Total Expenses..... 403,100

Net Profit..... 2,675,650

(ii) Profit or Loss Appropriation Account for the year ended 31st December 2021

Net Profit b/f..... 2,675,650

Add: Interest on Drawings

Mwevi..... 6,000

Total..... 2,681,650

Less: Interest on Capital:

Nyota (650,000 x 10%)..... 65,000

Mwevi (525,000 x 10%)..... 52,500

Total Interest on Capital..... 117,500

Remaining Profit for sharing..... 2,564,150

Profit sharing ratio 3:2

Nyota = $\frac{3}{5} \times 2,564,150 = 1,538,490$

Mwevi = $\frac{2}{5} \times 2,564,150 = 1,025,660$

(iii) Statement of Financial Position as at 31st December 2021

Assets

Non-current Assets:

Fixtures and fittings (240,000 - 24,000)..... 216,000

Plant and Machinery..... 2,649,400

Total Non-current Assets..... 2,865,400

Current Assets:

Closing Stock..... 292,750

Trade Debtors..... 412,400

Rates prepaid..... 48,000

Total Current Assets..... 753,150

Total Assets..... 3,618,550

Capital and Liabilities

Capital Accounts:

Nyota..... $650,000 + 1,538,490 + 65,000 - 6,000 = 2,247,490$

Mwevi..... $525,000 + 1,025,660 + 52,500 = 1,603,160$

Total Capital..... 3,850,650

Less: Drawings

Nyota..... 78,000

Mwevi..... 65,000

Total Drawings..... 143,000

Adjusted Capital..... 3,707,650

Current Liabilities:

Bank Overdraft..... 239,250

Salaries and Wages Outstanding..... 94,400

Total Liabilities..... 333,650

Total Capital and Liabilities..... $3,707,650 + 333,650 = 4,041,300$

Note: Ensure proper ledger postings reflect amounts matched from trial balance plus all adjustments.